Pearl Global Industries Ltd

Concall Tracker · Q2 FY2027 (quarter ended 30 Sep 2026) · NSE: PGIL · BSE: 532808 · Report prepared 11 Nov 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public filings.

1. Snapshot

What the business does: Pearl Global is India's largest listed garment exporter. It sews clothes (knits, wovens, denim, outerwear, activewear, kidswear) for big Western brands and retailers, mostly in the US, UK and Europe. The twist is where it sews: 26 factories across Bangladesh, Vietnam, India, Indonesia and Guatemala, so a brand can move orders between countries when tariffs or politics change. It earns a thin margin per piece and grows by adding capacity and customers.

Measure	Value	What it means in plain words
Market cap	₹12,775 cr	What the market values the whole company at, ₹1,381 a share (after a 1:1 bonus issue).
Q2 FY27 revenue	₹1,802 cr	Consolidated sales for the September quarter, up 37% on a year ago. Its biggest quarter ever.
Q2 FY27 operating margin	10.2%	About 10 paise of operating profit (EBITDA, before interest, tax, depreciation, excluding stock options) per rupee of sales, up from 9.3% a year ago. High for a garment maker.
Q2 FY27 profit	₹126 cr	Record quarterly profit, up 75% on the year.
FY26 revenue	₹5,025 cr	Full year to March 2026, up 12%. Trailing twelve months now ₹5,814 cr.
Cash and funds	₹638 cr	Cash plus mutual funds at September. It has more cash than it needs to fund the next year of building.
P/E	34.7	The price is about 35 times the last year's profit, rich for an exporter.
Promoter holding	59.9%	Slipped from 62.8% over five quarters (stock options and small sales), not a big exit.

Screener's default table for PGIL is standalone (the Indian factories only, about a fifth of the group). This report uses consolidated figures, which management quotes.

2. Concall coverage

Quarter	Call date	Transcript read?
Q4 FY23 → Q3 FY26 (12 calls)	May 2023 to Feb 2026	Yes, skimmed for promises and guidance
Q4 FY26	May 2026	Yes, read in full
Q1 FY27	6 Aug 2026	Yes, read in full
Investor Day	24 Sep 2026	Yes, read for the new FY30 targets
Q2 FY27	6 Nov 2026	**Transcript not yet filed** (call 5 days ago; recording only). Q2 press release and investor deck read instead.

About three and a half years of calls, plus the September Investor Day. The Q2 call itself isn't covered yet; its numbers come from the company's results release.

★ Latest update highlights - Q2 FY27 (results 5 Nov 2026, press release and deck)

- **Record quarter.** Revenue ₹1,802 cr, up 37%; operating profit ₹184 cr, up 51%; profit up 75%. Growth came from every country it makes in. Pieces shipped in the half rose to 43.6 million from 37.1 million.
- **New Bangladesh factory opened**, adding about 7 million pieces a year at full use. Group capacity goes to roughly 108 million pieces.
- **Bigger plan from the Investor Day (24 Sep):** ₹675-725 cr of spending from FY27 to FY30 on a knitting and fabric unit, laundry and more factories, aiming for ₹9,000-10,000 cr revenue by FY30 at 12-14% margin. The old ₹6,000 cr FY28 goal is about to be hit early.
- **Trade deals help India.** The India-UK free trade deal went live in July 2026 and the EU deal is expected early 2027; management says UK customers are already asking for more.
- **Weak spot is India itself.** The Indian factories' margin fell to 3% in the quarter after Haryana and Noida raised minimum wages sharply.

Business mix & capacity. Exports almost all: nearly every piece goes abroad. By making location, Bangladesh is about 45% of group sales, Vietnam and India about a quarter each, then Indonesia and Guatemala (Aug 2026). The US is the biggest market, then UK and Europe. Plain read: it's a Western-consumer business made mostly outside India. **Capacity:** about 101 million pieces a year before the new Bangladesh unit, 108 million after it; Guatemala runs at about 90% efficiency; India had better use than last year once US tariff fears eased. Management targets 125-130 million pieces of capacity by FY28.

★ 3. Earning-trigger thesis

The driver is plain: big brands are pulling orders away from China and want a supplier with factories in several countries. Pearl Global has five, and it keeps winning new brand programmes that scale over a few years. New factories (Bihar in India, Bangladesh, more land in Vietnam), a laundry that adds washing value, and a planned in-house knit fabric unit should lift both volume and margin. Trade deals with the UK and EU make Indian-made goods cheaper for those buyers. It's already in the numbers: margins went from about 4% five years ago to over 10%, and this half was a record. The catch is a thin-margin, tariff-sensitive business where a US policy change or a Bangladesh upset can move a quarter.

Trigger	What management said	Evidence so far	Horizon	Strength
China-plus-one orders across five countries	New customer programmes "continued to scale"; buyers want backup locations	Revenue +37% in Q2, growth in every country	Now → 3 yrs	Strong
New capacity	Bangladesh +7m pieces; Bihar second shed; Vietnam land bought; ₹675-725 cr to FY30	Bangladesh unit opened in Q2	0 to 3 yrs	Strong
Margin to 12-14%	Laundry, own fabric, Guatemala fixed, scale	10.2-10.7% in FY27 so far; Indian factories weak	2 to 4 yrs	Moderate
UK and EU trade deals	"Significant jump" in UK business by year end	UK deal live July 2026; EU not yet	1 to 2 yrs	Moderate

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Not discussed; net cash position anyway
New business	Yes	Knit fabric "processing unit and knitting unit" for backward integration (Investor Day, 24 Sep 2026)
Margin up	Yes	"Adjusted EBITDA margin stood at 10.7%, up by 140 bps" from product mix and operating leverage (6 Aug 2026)

New management	No	Same MD and CFO
New capacity	Yes	"Inaugurated new manufacturing facility in Bangladesh... ~7 Mn pieces" (5 Nov 2026)
Big orders	Yes	"Healthy order book"; recently acquired customer programmes scaling (6 Aug and 5 Nov 2026)
Turnaround	No	Guatemala aiming for break-even this year, but group is not a turnaround
Promoter buying	No	Not mentioned; promoter stake drifting down

Single concrete driver: Western brands are moving orders to its five-country factory network, and new factories in Bangladesh, Bihar and Vietnam add the room to ship more.

3c. Margin bridge

Margin is 10.2% now against 9.3% a year ago. Management credits a richer product mix (more outerwear and value-added pieces) and spreading fixed costs over more volume in Bangladesh and Vietnam. Against that, Indian wage hikes cut the India margin to 3%, and Guatemala still drags. They say double-digit margin holds for the full year, with laundry and own fabric adding more later (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY23 to FY24	Revenue up 12-14% a year; ₹6,000 cr by FY28	Revenue grew about 17% a year; trailing sales ₹5,814 cr, so FY28 goal arrives a year early	Delivered
Aug 2024	Operating margin 10-12% by FY28	Group at 10.2-10.7% in FY27 so far, inside the range two years early	Delivered
May 2025	Indian factories at double-digit margin after UK deal and new plants	India margin 6.6% in Q1 and 3% in Q2 FY27 after wage hikes	Missed
Feb 2026	Guatemala to break even in FY27	Still loss-making; repeated as "this year" in Aug and Sep 2026	Too-early
Aug 2026	Bangladesh capacity and laundry live in second half	Bangladesh unit opened in Q2, on time	Delivered
Aug 2026	Double-digit full-year margin	Q2 at 10.2%, H1 at 10.5%	On track

Narrative drift. Very little. The story has been the same for three years: more countries, more brands, slowly better margin. Targets were set modestly and beaten, then raised (FY30 now). The two soft spots are Guatemala, which keeps getting "next year" for break-even, and the Indian factories, whose margin target keeps meeting a new cost. Tone is confident but they do flag tariff and shipping risks openly.

5. Bottom line - two verdicts

Durable earning trigger? → YES

Brands moving away from China need suppliers like this, and Pearl Global's spread across five countries is hard to copy. It's already showing: a record half, margins above 10%, and a new Bangladesh factory just opened. The FY30 plan comes with real spending and a cash pile to fund it. The UK and EU trade deals are a bonus for its Indian plants. What could break it: a US tariff change aimed at Bangladesh or Vietnam, or a drop in Western shopping.

Management consistent? → YES

They've hit or beaten the big promises: revenue growth, the margin range and the FY28 sales goal all arrived early, and the Bangladesh unit opened when they said. The story hasn't changed in three years. The misses are smaller and specific: Guatemala's break-even keeps sliding a year and the Indian factories haven't reached double-digit

margin. Worth watching, not enough to doubt the group record. Caveat: the Q2 call transcript wasn't out yet, so this reads the results release, not the Q&A.

★ 6. Checkpoints for next quarter

- Group operating margin stays above ten percent in the December quarter
- New Bangladesh unit and laundry start shipping orders
- Guatemala reports break-even or close to it

Sources: Pearl Global earnings call transcripts May 2023 to Aug 2026 (Screener.in); Investor Day transcript 24 Sep 2026, Q2 FY27 press release and investor presentation 5 Nov 2026 (pearlglobal.com); Screener.in consolidated financials. The Q2 FY27 call (6 Nov 2026) transcript was not yet published.